



Washington Auto Rule Manual

Version 2.5

Auto



Mariner



Property



Umbrella



PEMCO Mutual Insurance Company

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1. Coverage Tier Factors

1.1 Coverage Tier Assignment

The Coverage Tier Assignment is generated by multiplying the tier components together for each coverage to calculate a tier component result. This result is then mapped to a Coverage Tier Assignment. The Coverage Tier Assignment is then used to assign a Coverage Tier Factor.

1.2 Prior BI Limit

For new policies, this tier component is based on the bodily injury limit carried on the applicant's prior policy. If a Prior Carrier limit is not shown in the Rate Manual, it will be mapped to the next highest per occurrence limit (e.g. 30/60 would be mapped to 50/100).

For renewal policies, this component is based on the bodily injury limit on the policy twelve months prior to the upcoming renewal effective date. If the policy has been with PEMCO less than twelve months at renewal, we will maintain the previous Prior BI Limit. If all vehicles on a policy were in storage and carried only physical damage coverage, the last bodily injury limit on the policy immediately preceding the vehicle usage change will be used to evaluate this tier component.

1.3 Prior Carrier Tenure

This component is the number of months the customer was insured with the prior carrier.

1.4 Prior Carrier Group

This component is determined by the insured's carrier prior to the PEMCO policy.

1.5 PEMCO Tenure

The PEMCO tenure component is determined by the number of years the rated policy has been with PEMCO based on the original effective date compared to the current term effective date. Policies with PEMCO as their Prior Carrier Group will maintain their previous PEMCO Tenure in addition to the current policy's tenure.

1.6 Max Single Driver Occurrences - Other

Includes chargeable group codes ACC, WTM, MAJ, and FT (refer to Appendix B). The maximum number for any one driver on the policy over the last five years.

1.7 Max Single Driver Occurrences – Speed and Minor

Includes chargeable group codes SPD and MIN (refer to Appendix B). The maximum number for any one driver on the policy over the last five years.

1.8 Max Single Driver Occurrences - Partial & Not At-Fault

Includes group codes ACE and ACN (refer to Appendix B). The maximum number of partial and not at-fault accidents for any one driver on the policy over the last five years.

1.9 Rated Driver Count x Max Single Driver Occurrences - Partial & Not At-Fault

The interaction of the number of rated drivers on the policy and the maximum number of partial and not at-fault accidents for any one driver on the policy over the last five years.

1.10 PEMCO COMP, Tow Claims Greater Than or Equal to \$150

The count of comprehensive and towing losses filed under the current policy with a loss amount greater than or equal to \$150 that occurred within the last five years.

1.11 PEMCO COMP, Tow Claims Less Than \$150

The count of comprehensive and towing losses filed under the current policy with a loss amount less than \$150 that occurred within the last five years.

1.12 Prior COMP, Tow, Rental Claims Greater Than or Equal to \$1,000

The count of comprehensive, tow and rental losses prior to the current policy which are greater than or equal to \$1000 that occurred within the last five years.

1.13 Prior COMP, Tow, Rental Claims Less Than \$1,000

The count of comprehensive, tow and rental losses prior to the current policy which are less than \$1000 that occurred within the last five years.

2. Policy Level Factors

2.1 Credit Based Insurance Score

PEMCO's Credit Based Insurance Score (CBIS) is based upon Fair Isaac's InScore 3.0 WA HO3/5 0902 scoring model.

In a multi-person household, we will use the CBIS of the first named insured listed on the policy for rating. If the first named insured is removed from the policy and replaced with a new named insured, a new CBIS will be ordered and applied mid-term for the new named insured. A mid-term named insured change will not trigger a CBIS re-order if the first named insured is replaced with a new named insured but remains listed on the policy. A new CBIS will be ordered and applied at renewal for the new named insured.

- CBIS will be ordered for each new business policy.

- An updated score will be reordered for renewal every 3 years, unless a score has already been ordered within 3 years.
- CBIS can be ordered once per 12 months at the customers' request.
 - Any mid-term order of the CBIS will apply to the customer's rating at the next renewal, unless the credit report contains incorrect or incomplete information and a reordered score decreases the premium.
 - If a customer's credit report contains incorrect or incomplete information and is later corrected, PEMCO will reorder. If the ordered score decreases the premium, the new CBIS will be applied retroactively to the effective date of the current term.

Customers not receiving the highest possible insurance score weight will receive a regulatory disclosure notice from PEMCO that adverse action occurred relative to the use of information in their credit history report.

2.2 Household Structure

Household composition is determined based on the number of non-stored vehicles, the number of rated drivers, the number of married drivers, and the number of youthful drivers (under age 25). A Multi-Car Discount will be identified on policies with two or more non-stored private passenger, pickup, or motorhome vehicles.

2.3 Excluded Drivers

Drivers are excluded for cause for underwriting reasons normally due to driving activity.

2.4 Auto Plus Discounts

Discounts are applied to an auto policy when a named insured also has an in-force PEMCO homeowner, condo, renters, umbrella, or mariner policy. These discounts are removed immediately if the cancellation of the associated property, umbrella and or mariner policy is customer initiated. If the cancellation of the associated property, umbrella and or mariner policy is initiated by PEMCO, the discounts will remain on the Auto policy until the end of the current policy term. The discounts will be removed if the cross-file policies are not purchased within 30 days from the auto policy new business date.

2.5 Educator Discount

Policies are eligible for the Educator Discount when the named insured or additional named insured is currently a member of a qualifying educator group (see Educator Groups in Appendix D). Members of these groups who are retired will also qualify for this discount.

2.6 Employee/Board of Directors Discount

An employee discount will be applied if the named insured or additional named insured is a current employee or board member of PEMCO Mutual Insurance Company. The discount will be removed as of the first renewal date after employment or board membership has ended.

2.7 Homeownership Discount

Applies if the insured owns a home, condo, or mobile home regardless of whether or not PEMCO writes their homeowners policy.

2.8 Loyal Auto Customer Discount

The discount is identified for policies with more than one year of policy tenure.

2.9 Spin-off Discount

A policy will be eligible for the Spin-off Discount if one of the named insureds is listed as a rated driver on an existing PEMCO auto policy at the time the quote for the Spin-off policy is submitted. The prior auto policy must still be in force at the time the quote for the Spin-off policy is submitted. The discount will apply for the first five years of the current policy's tenure and will expire on the effective date of the sixth year. A customer's policy will not be eligible for the discount if there is a gap in coverage with PEMCO for more than 60 days.

2.10 Advanced Quote Discount

A policy qualifies for the Advance Quote Discount if the quote date is 1 or more days in advance of the policy effective date. New PEMCO Auto policies with PEMCO as the prior carrier, and policies with the Spin-off discount are not eligible for the Advance Quote discount. The quote date, for the purposes of this discount, is defined as the oldest date the named insured received a quote in the 60 days prior to the effective date. The discount will apply to the first five years the policy has been with PEMCO based on the original effective date compared to the current term effective date and will expire on the effective date of the sixth year.

2.11 Paid in Full Discount

Customers who pay their auto policy term premium in full (at inception or renewal) using the automated full payment plan will receive a Paid in Full discount. If the payment plan is changed to a plan other than full pay before the term premium has been paid in full, the discount will be removed mid-term as of the effective date of the change to the payment plan. If the payment plan is changed to a plan other than full pay and the term premium has been paid in full, this discount will remain on the policy until the end of the current policy term. If the discount is removed prior to the end of the current policy term, the resulting change in premium will be prorated for the remainder of the current policy term, based on the number of days remaining in the current policy term.

2.12 Paperless Discount

A Paperless Discount will be applied at new business if the named insured agrees to receive policy documents electronically. If the insured endorses Paperless onto the policy mid-term, then the discount will be applied effective on the day the insured confirms their paperless preference. To be eligible, the insured must provide and maintain a valid email address. If the insured requests to receive policy documents by conventional mail, the discount will be immediately removed.

3. Driver Level Factors

Driver factors are determined for each rated driver on the policy using driver class factors, activity surcharges, and driver discounts. One divided by the count of rated drivers is used to calculate the driver percentage to be applied as a factor to the coverage specific base rate.

3.1 Driver Class

Driver age – is determined as of the driver effective date on the policy term. Drivers under age 30 whose birthday is within 30 days after their effective date will be rated in the next oldest driver age classification.

Gender – identified by the customer as Male, Female, or Non-specified.

Marital status – identified by the customer as Single, Married, Divorced, Separated, Widowed, or Registered Domestic Partnership.

A Client Marital Status of...	Is classified in the Driver Class Factor...
Divorced	Single
Married	Married
Other	Single
Registered Domestic Partnership	Married
Separated	Single
Single	Single
Widowed	Married

3.2 Surcharge Points

Surcharge points – Most accidents and violations are chargeable if they occurred within 36 months of the policy effective date. Surcharge points will be assigned according to the Surcharge Points Table in Appendix B.

Rating factors vary by age of the driver and the age of the violation in months.

International/foreign driver's license surcharge – For drivers without a valid U.S. or Canadian driver's license as of the policy effective date, an International/Foreign driver's license surcharge will be applied according to the Surcharge Points Table in Appendix B.

Newly licensed adult driver surcharge – Drivers 22 years old and older, who are licensed less than ten months in U.S. or Canada as of the policy effective date, will be assessed a newly licensed adult driver surcharge according to the Surcharge Points Table in Appendix B.

Unverifiable motor vehicle record surcharge – If we cannot obtain an MVR newer than 30 days from the MVR order date an Unverifiable MVR Surcharge is applied according to the Surcharge Points Table in Appendix B. If a driver is added mid-term and we cannot obtain a valid MVR, the unverifiable motor vehicle record surcharge will apply. The surcharge will continue to be applied until PEMCO obtains a valid MVR within 30 days of the order date

3.3 Student Discounts

Discounts are offered to student drivers age 16-24 based on the following student status and eligibility requirements.

- Full time high school student including home-schooled students.

- 30 or more hour per week for a Vocational/Technical school student
- 10 or more semester hours or 12 or more quarter hours for a College or University student.

3.3.1 Good Student Discount

A Good Student discount will be applied to qualified drivers.

For the initial application of the Good Student Discount we require proof of qualification. Proof must be received within 30 days of the discount's effective date. If not received, the discount will be removed as of its effective date. If proof is received later, the discount will be re-added effective on the date the proof is received.

The student must meet at least one of the following for the term immediately preceding the discount effective date or cumulative up through the most recent term:

- Ranked scholastically in the upper 20% of the class; or
- tested in the 80th percentile or higher on a National Percentile Scale, or 8 or 9 on a Stanine Scale for home-schooled students; or
- earned a 3.0 on a 4-point scale, or a B average, or equivalent; or
- qualified for the Dean's List or Honor Roll.

Once the discount has been applied, it will remain on the policy for the subsequent renewals, until the driver is 25 years old and/or no longer qualifies.

3.3.2 Away at School Discount

A discount applies to a driver who is a student and meets the following conditions:

- The driver is a licensed single driver between 16-24 years of age and is a dependent of the Named Insured.
- The driver doesn't have regular access to a vehicle while at school.
- The school is a college preparatory school, four-year college, or university.
- The school is at least 75 miles away from the nearest garaging location of a vehicle on the policy.

3.4 Defensive Driver Discount

A discount applies to drivers age 55 or older who have completed a defensive driving course. The discount is effective as of the date requested and will remain on the policy for up to two years from the course date.

3.5 Accident Forgiveness and Minor Ticket Forgiveness

The Accident Forgiveness benefit forgives the first subsequent At-Fault Accident for qualifying drivers. Additionally, for qualifying drivers, any Not or Partial At-Fault Accidents incurred during the time they are eligible for Accident Forgiveness benefit will not be applied to Coverage Tier.

The Minor Ticket Forgiveness benefit forgives the first subsequent minor violation for qualifying drivers. Driver qualification for both benefits is evaluated with renewal processing.

3.5.1 Accident Forgiveness

To qualify for the Accident Forgiveness benefit, drivers must meet all of the following conditions for

the five years prior to an upcoming renewal:

- Been a rated driver on a PEMCO Auto Policy for five prior years
- Zero At-Fault Accidents
- Zero Major violations
- Zero Failure To Yield/Following Too Closely violations
- Zero Worse Than Major violations
- Less than 2 Minor violations

Accident Forgiveness benefits can only be applied at the renewal term. Drivers who meet the requirements are eligible for Accident Forgiveness until the subsequent policy term when they will be re-evaluated.

If an At-Fault Accident is forgiven, the driver will need to re-qualify for Accident Forgiveness. The driver must meet all qualifications stated above.

An exception to the rules above: If a client had banked points at their renewal into the program effective 2/10/2017, that client's accident forgiveness benefit will remain until it's used.

(Bank points were awarded to PEMCO customers prior to Dec. 1, 1999. One point was awarded to each driver for being accident and violation free for the previous year, up to 3 points could be awarded)

3.5.2 Minor ticket Forgiveness

To qualify for the Minor Ticket Forgiveness benefit, drivers must meet all of the following conditions for the five years prior to an upcoming renewal:

- Been a rated driver on a PEMCO policy for five prior years
- Zero At-Fault Accidents
- Zero Major violations
- Zero Failure To Yield/Following Too Closely violations
- Zero Worse Than Major violations
- Zero Minor Violations

Minor Ticket Forgiveness benefits can only be applied at the renewal term. Drivers who meet the requirements are eligible for Minor Ticket Forgiveness until the subsequent policy term when they will be re-evaluated.

If a minor violation is forgiven, the driver will need to re-qualify for Minor Ticket Forgiveness. The driver must meet all qualifications stated above.

3.6 My Driving Discount

A discount that applies to a rated driver who participates in the usage-based insurance (UBI) program. This voluntary program uses driving behavior data collected using a smartphone-based application (app) to determine a telematics driver score.

Drivers who enroll in the program but do not yet have a telematics driver score will receive an initial participation discount, effective upon enrollment or the current policy effective date, whichever is later. Immediately after completing a monitoring period of 91 days, and if the eligibility criteria below are met, the participation discount is replaced with a personalized rating discount using the telematics driver score calculated from the data collected. Some telematics driver scores may not qualify for a personalized rating discount, resulting in removal of the participation discount without a personalized rating discount being applied. PEMCO uses the DriveWell scoring algorithm by Cambridge Mobile Telematics to calculate the telematics driver score.

Discount eligibility requires the following:

- The driver must complete registration within the first 15 days after enrollment. If registration is not completed, the discount is removed after 15 days.
- The driver must drive at least 5 trips and 150 miles during the monitoring period.
- The driver must meet all other requirements contained within the PEMCODOMETER – My Driving Discount Agreement/PEMCO Washington Auto Policy Endorsement.

Actions that prevent accurate monitoring of driving behavior during the monitoring period, or failure to meet all eligibility requirements, will result in any program related discounts being removed immediately.

A participating driver's telematics driver score will remain unless they are no longer rated on a PEMCO policy or they choose to restart. Each participating driver may restart with a new monitoring period once per 12 month period from the enrollment date or the start of the last monitoring period, whichever is later. If a driver is unenrolled from the program, they are eligible to re-enroll 12 months from the last monitoring period. Drivers who spin-off onto a new policy will maintain their telematics driver score if they are enrolled at the time of quote submission. If a driver spins-off during a monitoring period, the monitoring period will continue into the new policy. Any new telematics driver score derived from a completed monitoring period will replace any existing telematics driver score and be applied immediately after the completed restarted monitoring period. If any of the eligibility conditions described above are not met during a restart, any applied participation or personalized rating discount will be immediately removed.

4. Coverage

The limit factor is applied to the following coverages: Bodily Injury, Property Damage, Personal Injury Protection, Underinsured Motorist Bodily Injury, Underinsured Motorist Property Damage, Rental and Towing. A deductible factor is applied to Comprehensive and Collision coverage.

4.1 Coverage Requirements

Private passenger, pickup, and motorhome vehicles on the policy have the following coverage restrictions:

- Bodily Injury Liability (BI) and Property Damage Liability (PD) limits must be identical on all vehicles. If a vehicle is stored, BI and PD coverage is not available.
- Underinsured Motorist Bodily Injury (UIMBI) limits must be identical on all vehicles and equal to the BI liability limits unless reduced or waived using the state-required form. If a vehicle is stored, UIMBI coverage is not available.
- Underinsured Motorist Property Damage (UIMPD) limits must be identical on all vehicles. Coverage may be waived using the state-required form. If a vehicle is stored, UIMPD is not available.
- Personal Injury Protection (PIP) coverage must be identical on all vehicles. Coverage may be waived using the state-required form. If a vehicle is stored, PIP is not available.

4.2 Coverage Waivers

A named insured or spouse may reject, in writing, underinsured coverage for bodily injury or death, or property damage. If a named insured or spouse has rejected underinsured coverage, such coverage shall not be included in any supplemental or renewal policy unless a named insured or spouse subsequently requests such coverage. The requirement of a written rejection under this subsection shall apply only to the original issuance of policies issued after July 24, 1983, and not to any renewal or replacement policy. When a named insured or spouse chooses a property damage coverage that is less than the insured's third-party liability coverage for property damage, a written rejection is not required.

A named insured or spouse may reject, in writing, personal injury protection coverage. The rejection is valid and binding as to all levels of coverage and on all persons who might have otherwise been insured under such coverage. If a named insured or spouse has rejected personal injury protection coverage such coverage shall not be included in any supplemental, renewal, or replacement policy unless a named insured subsequently requests such coverage.

Signed waiver forms must be received within 30 days. If the UIM waiver is not received, the UIM coverage will be added at limits equal to the BI/PD limits for the policy. If the PIP waiver is not received PIP coverage is added at the \$10,000 limit.

If a signed UIM or PIP waiver is received after the 30 days, but before 45 days we will honor the original date of the request. If the signed waiver is received after 45 days, the coverage will be removed or reduced effective the date the waiver is received.

4.3 Coverage Deductible

Comprehensive – coverage is available with the following deductibles:

Deductible
\$5,000
\$2,500
\$2,000
\$1,500
\$1,000
\$750
\$500
\$300

\$200
\$100

Comprehensive coverage cannot be selected without selecting either Bodily Injury or Collision coverage on the vehicle (except stored vehicles, which may have Comprehensive coverage only).

Collision – coverage is available with the following deductibles:

Deductible
\$5,000
\$2,500
\$2,000
\$1,500
\$1,000
\$750
\$500
\$300

Collision coverage may not be selected for a vehicle unless Comprehensive coverage is also selected.

4.4 Additional Coverage Options

Additional coverages are available on a per vehicle basis.

Rental Reimbursement – coverage is available at the following limits:

Per Day	Maximum
\$90	\$2,700
\$70	\$2,100
\$50	\$1,500
\$30	\$900

Rental Reimbursement cannot be selected unless both Comprehensive and Collision coverages are selected for the vehicle.

Towing/Roadside Assistance – coverage is available at the following limits:

Per Occurrence
\$150
\$100
\$50

Towing/Roadside Assistance coverage may not be selected unless both Bodily Injury Liability and Comprehensive coverages have been selected for the vehicle.

Auto Loan/Lease – coverage extends to a covered total loss of the vehicle to which it applies.

If the auto is subject to a traditional loan, we'll pay the actual cash value of the vehicle at the time of the loss, or the principal outstanding balance of the loan, whichever is greater.

If the auto is subject to a lease agreement, in addition to the actual cash value of the vehicle at the time of the loss, we'll pay other amounts due on the leased auto less:

- Lease payments overdue at the time of the loss;
- Charges imposed under the lease for abnormal wear, high mileage, or other penalties;
- Carryover balance from previous leases;
- Additional costs for warranties or insurance;
- Nonrefundable deposits, including security deposits; and
- Payments made under other sections of this or other insurance policies covering the loss in whole or in part.

This coverage is available for vehicles no more than three model years of age from the policy effective date at the time the coverage is added.

Auto Loan/Lease coverage may not be selected unless both Comprehensive and Collision coverage have been selected for the vehicle.

Auto Loan/Lease coverage is available for private passenger, pickup, and motorhome vehicle types only.

Customized Equipment and Sound Equipment – Physical Damage coverage for custom parts or additional equipment (not factory installed) is available.

This includes sound or communications equipment, customized paint or finishes, or wheels. Sound equipment coverage isn't required for Lo-Jack or similar equipment designed to deter theft or retrieve the vehicle in case of theft.

Wheelchair lift or similar equipment is not required to be listed on the customized equipment endorsement (PAE-44). The wheelchair lift-type equipment is covered by UIMPD, Comprehensive, and Collision coverages up to \$15,000 without additional premium.

Auto Accidental Death – \$10,000 of coverage is provided per covered person. Accidental Death coverage may not be selected unless bodily injury and property damage coverage is selected for one vehicle.

5. Vehicle Level Factors

Vehicle level factors are calculated using the vehicle's type, age, annual mileage, usage, zip code and symbol as well as vehicle level discounts.

5.1 Model Year

For Comprehensive and Collision coverages, a model year factor is applied based on the model year of the vehicle. For a model year not displayed in the rate pages, the factor shown for the latest model year will be used.

5.2 Vehicle Age

A vehicle age factor is applied for Bodily Injury, Property Damage, Personal Injury Protection and Underinsured Motorist Bodily Injury. The vehicle age is calculated by the model year of the vehicle and the year of the vehicle effective date for the policy term. Vehicle ages of less than five will be identified as receiving a New Vehicle Discount.

5.3 Vehicle Type

Vehicle types are defined as private passenger, pickup, and motorhome.

5.4 Vehicle Symbol

For private passenger vehicles and pickups PEMCO utilizes ISO "Vehicle Series Program (PP-2008-R08V)" for Comprehensive and Collision coverages and ISO "2022 Liability and PIP/Medical Payments (LPMPP) Vehicle Rating Plan" for: Bodily Injury, Property Damage, Personal Injury Protection, Comprehensive and Collision. Symbols are reevaluated at renewal.

If an ISO symbol cannot be found based on a validated VIN or vehicle year, make and model, the system will assign symbols based on the following rules.

For Physical Damage symbols, ISO rule 3.B.2 is applied:

3. Premium Determination

B. Model Year and Symbol Determination

2. If no Rating Symbol is shown in the Symbol and Identification (S&I) Manual, use the following procedure to determine an interim Rating Symbol.
 - a. If the S&I Manual displays a Rating Symbol for the prior model year version of the same vehicle, use the prior model year's Rating Symbol for the new model year vehicle.
 - b. If the S&I Manual does not display a Rating Symbol for the prior model year version of the same vehicle, assign a Symbol based on the cost new of the auto, using the price/Symbol chart located in the reference pages of the S&I manual.

For Liability symbols, the vehicle is assigned to the No Symbol class (i.e. 1997 and prior model years).

5.5 Motorhome

A motorhome is rated for physical damage based on symbol assignment (see the Motorhome Cost New Symbol Conversion table in Appendix A) using the original cost new and age. A motorhome is rated for liability coverage based on the No Symbol class. Comprehensive, Collision, Towing and Rental coverages are available.

5.5.1 Motorhome Discount

A motorhome added to a policy for the first time with general usage will qualify for this discount. If a motorhome changed usage or was removed and the same motorhome was subsequently re-added to the policy, the discount will apply at the first renewal after the vehicle is consecutively insured for general usage for at least 12 months.

5.6 Anti-Theft Discount

A discount on comprehensive coverage is available for vehicles with Lo-Jack or similar theft prevention devices, or for vehicles with audible alarms and hood locks, which are only released from inside the car.

5.7 Leased Auto Discount

A leased vehicle will receive a discount on comprehensive and collision coverages.

5.8 Mileage

Mileage is defined as the estimated annual mileage driven.

5.8.1 Low Mileage Discount

A discount is identified for vehicles driven less than 8,000 miles annually.

5.9 Vehicle Usage

Vehicles used for business purposes will be categorized as business use. Vehicles on the policy with only Comprehensive coverage, or Comprehensive with Collision, may be categorized as stored. All other uses will be categorized as general use.

5.10 Zip Code

Each vehicle is rated based on the ZIP code of that vehicle's garaging address.

5.11 Rideshare

Each vehicle used for Transportation Network Company (TNC) purposes will have the option of being rated under the Rideshare Coverage Endorsement.

6. Vehicle Driver Interactions

6.1 Driver Age x Vehicle Type

An interaction between Driver Age and Vehicle Type.

6.2 Driver Age x Vehicle Age

An interaction between Driver Age and Vehicle Age.

6.3 Marital Status x Gender x Vehicle age

An interaction between Marital Status, Gender and Vehicle Age.

7. Premium Mitigation

Existing policies renewing into this new program may experience sizeable premium increases or decreases. Due to major revisions to PEMCO's Automobile rating plan, and in accordance with WAC 284-24-130, the following premium mitigation plan will be followed:

Upon renewal into the new rating plan for policies effective on or after the renewal effective date of filing PEMC-133166706 that receive an increase greater than 5.5% or a decrease less than -5%, the premium change will be mitigated through a premium adjustment factor.

The following steps will be followed to ensure the policy premium is mitigated appropriately.

Step 1: Update the policy with most current renewal rating characteristics discovered and/or revised during

renewal processing.

Step 2: Rate the policy on the current rate plan using the updated rating characteristics from Step 1. This will determine the premium that will be used as the basis for premium comparison and mitigation calculation.

Step 3: Rate the policy on the rate plan effective as of the renewal effective date for filing PEMC-133166706 using the rating characteristics from Step 1. This will determine the actual (unmitigated) renewal premium that will be used for mitigation comparison.

Step 4: Compare TOTAL POLICY PREMIUM from Step 3 and TOTAL POLICY PREMIUM from Step 2 to determine whether tier mitigation should apply. If mitigation should apply we will use a premium adjustment factor to ensure the increase or decrease is within the bounds.

Example:

Step 2 Premium = \$900 [Main Coverage Premium] + \$100 [Miscellaneous Coverage and Vehicle Premium]

Step 3 Premium = \$1,140 [Main Coverage Premium] + \$110 [Miscellaneous Coverage and Vehicle Premium]

Step 4 Calculation = $(\$1,140 + \$110) / (\$900 + \$100) = 25\%$ increase

Premium Adjustment Factor = $(\$1,000 * 1.055) / \$1,250 = .84400$

Minimum Premium condition is satisfied after the premium adjustment factor is applied. As a result, some customers will not realize the full impact of mitigation and may not be within the mitigation range.

Subsequent renewals will move the premium to the appropriate amount following similar steps and comparisons with the following considerations.

- 1) Once a policy premium change (increase or decrease) is no longer outside the bounds, the mitigation will be removed, and the policy will not be reevaluated for mitigation at future renewals.
- 2) Upon the first renewal after three years from transitioning into the new program, the unmitigated premium will apply. A policy will be mitigated for no more than three years.

8. Minimum Premium

8.1 Minimum Premium

Coverages are subject to a minimum premium requirement by coverage.

9. Miscellaneous Vehicles

To accommodate households owning vehicles other than private passenger autos, pickups or motorhomes, other vehicle types are allowed on a PEMCO personal auto policy. These vehicle types include campers, canopies, golf carts, and trailers. These vehicles are not considered for the multi-vehicle discount.

9.1 Campers and Canopies

Campers and canopies are rated for physical damage based on the value at the time it's added to the policy, deductible selection, and age. Only Comprehensive and Collision coverages are available.

In order for physical damage to apply. The camper/canopy must be reported to us and shown on the Declarations. Liability coverage will extend from the pickup we insure when the camper or canopy is mounted on that pickup.

9.2 Golf Carts

Golf carts are rated for physical damage based on the value at the time it's added to the policy and age. Only Comprehensive and Collision coverages are available. In order for physical damage to apply, the golf cart must be reported to us and shown on the Declarations.

The only available deductibles are \$300 for Collision and \$100 for Comprehensive. The auto policy does not offer liability coverage for golf carts.

9.3 Non-Owned Auto

Liability, Underinsured Motorist and Medical/Personal injury protection coverage can be extended to a non-owned auto (ENOA) used by the named insured or additional named insured. The vehicle owner must carry primary insurance and not be self insured (for example, federal or state governments.) Vanpools owned by a transit authority or other city, county, or state government are eligible. The limits must match the other private passenger vehicles on the policy. Use is categorized as either company vehicle or vanpool vehicle. For coverage to apply, the vehicle must be shown on the Declarations.

9.4 Trailers

All trailers must be designed to be pulled by a private passenger auto, pickup, or motorhome. Liability coverage is extended from a vehicle we insure while the trailer is being pulled. For physical damage coverages, the trailer must be described on the Declarations.

9.5 Recreational Trailers

Recreational trailers or travel trailers are rated for physical damage based on value and age at the time it's added to the policy. Only Comprehensive and Collision coverages are available.

9.6 Livestock Trailers

A livestock trailer is rated for physical damage based on value and age at the time it's added to the policy. Livestock trailers are categorized by the number of animals they carry. Only Comprehensive and Collision coverages are available.

9.7 Utility Trailers

A utility trailer is rated for physical damage based on its value and age at the time it's added to the policy. Only Comprehensive and Collision coverages are available

9.8 Miscellaneous Vehicles Model Year

For Comprehensive and Collision coverages, a model year factor is applied based on the model year of the miscellaneous vehicle.

10. Appendix A – Motorhome Cost New Conversion Table

1983 and Prior Models		1984 through 1989 Models		1990 to 2010 Models	
Cost Range	Symbols	Cost Range	Symbols	Cost Range	Symbols
0 - 3,000	3	0 - 2,750	3	0 - 6,500	1
3,001 - 4,000	4	2,751 - 3,700	4	6,501 - 8,000	2
4,001 - 5,000	5	3,701 - 5,000	5	8,001 - 9,000	3
5,001 - 6,000	6	5,001 - 6,500	6	9,001 - 10,000	4
6,001 - 7,000	7	6,501 - 8,000	7	10,001 - 11,250	5
7,001 - 8,000	8	8,001 - 10,000	8	11,251 - 12,500	6
8,001 - 10,000	10	10,001 - 12,500	10	12,501 - 13,750	7
10,001 - 12,000	11	12,501 - 15,000	11	13,751 - 15,000	8
12,001 - 14,000	12	15,001 - 17,500	12	15,001 - 16,250	10
14,001 - 16,000	13	17,501 - 20,000	13	16,251 - 17,500	11
16,001 - 18,000	14	20,001 - 24,000	14	17,501 - 18,750	12
18,001 - 20,000	15	24,001 - 28,000	15	18,751 - 20,000	13
20,001 - 22,000	16	28,001 - 33,000	16	20,001 - 22,000	14
22,001 - 24,000	17	33,001 - 39,000	17	22,001 - 24,000	15
24,001 - 26,000	18	39,001 - 46,000	18	24,001 - 26,000	16
26,001 - 28,000	19	46,001 - 55,000	19	26,001 - 28,000	17
28,001 - 30,000	20	55,001 - 65,000	20	28,001 - 30,000	18
30,001 and over	21	65,001 and over	21	30,001 - 33,000	19
				33,001 - 36,000	20
				36,001 - 40,000	21
				40,001 - 45,000	22
				45,001 - 50,000	23
				50,001 - 60,000	24
				60,001 - 70,000	25
				70,001 - 80,000	26
				over 80,000	27

2011 and Newer Models		2011 and Newer Models	
Cost Range	Symbols	Cost Range	Symbols
1 - 3,000	1	33,001 - 34,000	39
3,001 - 5,500	2	34,001 - 35,000	40
5,501 - 8,000	3	35,001 - 36,000	41
8,001 - 9,000	4	36,001 - 37,000	42
9,001 - 10,000	5	37,001 - 38,000	43
10,001 - 11,000	6	38,001 - 39,000	44
11,001 - 12,000	7	39,001 - 40,000	45
12,001 - 13,000	8	40,001 - 41,250	46
13,001 - 14,000	10	41,251 - 42,500	47
14,001 - 15,000	11	42,501 - 43,750	48
15,001 - 15,625	12	43,751 - 45,000	49
15,626 - 16,250	13	45,001 - 46,250	50
16,251 - 16,875	14	46,251 - 47,500	51
16,876 - 17,500	15	47,501 - 48,750	52
17,501 - 18,125	16	48,751 - 50,000	53
18,126 - 18,750	17	50,001 - 52,500	54
18,751 - 19,375	18	52,501 - 55,000	55
19,376 - 20,000	19	55,001 - 57,500	56
20,001 - 20,625	20	57,501 - 60,000	57
20,626 - 21,250	21	60,001 - 65,000	58
21,251 - 21,875	22	65,001 - 70,000	59
21,876 - 22,500	23	70,001 - 75,000	60
22,501 - 23,125	24	75,001 - 80,000	61
23,126 - 23,750	25	80,001 - 85,000	62
23,751 - 24,375	26	85,001 - 90,000	63
24,376 - 25,000	27	90,001 - 95,000	64
25,001 - 25,625	28	95,001 - 100,000	65
25,626 - 26,250	29	100,001 - 110,000	66
26,251 - 26,875	30	110,001 - 120,000	67
26,876 - 27,500	31	120,001 - 130,000	68
27,501 - 28,125	32	130,001 - 140,000	69
28,126 - 28,750	33	140,001 - 150,000	70
28,751 - 29,375	34	Rating Symbol Only	71
29,376 - 30,000	35	Rating Symbol Only	72
30,001 - 31,000	36	Rating Symbol Only	73
31,001 - 32,000	37	Rating Symbol Only	74
32,001 - 33,000	38	Rating Symbol Only	75
		150,001 and above	98

11. Appendix B – Surcharge Points Table

Category	Group Code	Points
At-fault accident	ACC	3
Non-chargeable At-fault Accident	ACE	0
Not At-fault Accident	ACN	0
Worse than major (includes DUI)	WTM	6
Major	MAJ	4
Minor	MIN	2
No charge	NC	0
Speed	SPD	2
MVR not found	MNF	4
International/Foreign License	INT	3
Newly licensed adult driver	INX	3
Commercial	COM	0
Failure To Yield / Following too Close	FT	4

12. Appendix C – Driver Activity Violations

Below lists violation and accident codes.

Description	Group
Improper operation due to physical or mental disability	MAJ
At fault (contributing) in injury accident	NC
Accident at fault	ACC
At fault (contributing) in property damage accident	NC
Accident (at fault but not chargeable)	ACE
Accident (not at fault)	ACN
MVR Accident	NC
Violation resulting in accident	NC
Fail to notify DOL address change	NC
Open container violation	MAJ
Aggressive operation	MAJ
Failure of driver to render aid in injury accident	MAJ
Allow intoxicated person to drive	MAJ
Action pending	NC
Possession of fictitious/suspended license	MAJ
Business violation other than Dlr or Mfr	NC
Illegal cell/mobile phone	MIN
Crossing fire hose	MIN
Class or endorsement change	NC
Change of name or address	NC
Clear MVR	NC
Coasting on downgrade	MIN
Commercial disqualifications	COM
Course related	NC
Customer review required, DMV notations	NC
Possess suspended, revoked, or canceled license	MAJ
Deceased	NC
Denial, General ¹	MAJ
Defective equipment/unnecessary noise	MIN

Too fast for conditions	SPD
Driving without future proof	MIN
Illegal dealer plates	NC
Driving while license suspended/revoked	MAJ
Fail to dim headlights	MIN
Operate motorcycle w/out lights	MIN
Driving on wrong side road/crossing divider	MAJ
Driving on shoulder/sidewalk	MIN
Disobey road sign	MIN
Department occupational violation	MAJ
Disqualification, Generally	NC
Appear of Restr/Probation denied or dropped	NC
Disobey signalman/officer	MAJ
Driving under the influence of drugs	WTM
Driving under influence	WTM
Driving without lights/illegal lights	MIN
Operating moped on freeway	MIN
Driving wrong side road/crossing divider	MAJ
No valid license	MAJ
Wrong way on one-way street	MAJ
Eligible for license	NC
Suspension of endorsement	NC
Eluding a police officer	MAJ
Following emergency equipment	MIN
Expired drivers license	MIN
Dept may extent susp/rev for DWS/DWR	MAJ
Fail to comply for FTA's	MIN
Failure to comply with licensing conditions	MAJ
Child restraint law violation	MIN
Failure to use due care/maintain control	MAJ
Failure to provide Financial Responsibility	MAJ
False insurance evidence	MAJ
Financial	NC
Felony involving vehicle	WTM
Improper lane travel	MIN
Driving over center line	MIN
Record flag	NC
Failure to carry flares, other devices	MIN
Use false name/statement to obtain title/reg/lic	MAJ
Failure to meet security following an accident	MAJ
Frequent accident flag ²	MAJ
False info in report	MAJ
Fail/Improper signal	MIN
Failure to secure load	MAJ
Operator foreign license during susp/rev	MAJ
Following too closely	FT
False or failure to make theft report	MAJ
Fail to keep right	MIN
Failure to respond/comply	MIN
Failure to stop	MIN
Fail to transfer title w/in 45 days	MIN
Failure to yield right of way	FT
False vehicle inspection	MAJ
Wrong way freeway access	MIN
Limited access roadway	MIN
Gross Weight Limit	COM
Habitual offender ³	MAJ
Hit and run	WTM

Headlamps improperly adjusted, causing glare	MIN
Hit and run - animal	MAJ
Hearing	NC
Habitually reckless or negligent	MAJ
ID card issued or withdrawn	NC
Unlawful use of license	MAJ
ID card violation	MAJ
Improper lane change	MIN
Illegal vehicle equipment	MIN
Improper passing	MIN
Improvement action unspecified	NC
Improper towing	MIN
Vehicle inspection violation	NC
International Drivers License	INT
Under investigation review	NC
Inexperienced Adult Operator	INX
Carrying passengers improperly	MIN
Improper backing	MIN
Physical control	WTM
Improper turn	MIN
Illegal use of plates	MAJ
Interview	NC
Log book violation	COM
Loss of consent for minor's license	MAJ
Load extending beyond vehicle	MIN
Licensing action	MAJ
Unlawful to lend license	MAJ
Driving with suspended vehicle registration	MAJ
Leaving the scene after injury accident	WTM
Leaving the scene after property damage accident	MAJ
Manslaughter	WTM
Medical review required	NC
Administrative message	NC
No/illegal helmet (driver or passenger)	MIN
Moving in from another state	NC
More than one driver's license	MIN
Multiple motorcycle violations	MIN
MVR not found	MNF
MVR not returned from DMV	NC
Modification of condition/restriction	NC
Moved out of state	NC
MVR record pending	NC
False statement, misrep, fail to sign, etc.	MAJ
Fail to sound horn, mountain road	MIN
Mutilated license	NC
Combination endorsement violation	COM
Negligent/vehicular homicide	WTM
Negligent driving	MAJ
No light/flag on extended load	MIN
Driving without liability insurance	MAJ
No license on person	MIN
No action	NC
No proper endorsement on license	MIN
No registration in vehicle	NC
No valid trailer license displayed	MIN
Non-vehicle violation, i.e., fishing, real estate lic reg	NC
Missing/obscure/altered license plate	NC
Impeding traffic	MIN
Other criminal activity	MAJ

License restricted; occupational license issued	MAJ
Violation of Out of Service order	MIN
Operating violation	NC
Organ donor	NC
Out of state violation unspecified	MIN
Other moving violation	MIN
Minor operates vehicle with alcohol	WTM
Operate vehicle w/out certificate of ownership	NC
Obstructed vision or control	MIN
Overtaken, not guilty	NC
Violation by pedestrian	NC
Unlawfully carrying passengers for hire	NC
Possession of intoxicants	MAJ
Possession of a weapon	MAJ
Probation	NC
Parking violation	NC
Passing stopped school bus	MAJ
Pushed vehicle in dangerous manner	MIN
Point credit	NC
Punishment terms, jail, fine, etc.	NC
Permit unlawful use of license	MAJ
Carrying persons outside of vehicle	MAJ
Permit illegal vehicle operator	MAJ
Refusing a breathalyzer	WTM
Racing	WTM
Fail to report accident/injury	MAJ
Reinstatement, license restored or reissued	NC
Registration restored	NC
Owner to return reg upon susp/rev/canc	MAJ
Revocation	MAJ
Remove and/or falsify vehicle and/or engine	MAJ
Reckless driving in a construction zone	MAJ
Reckless driving	MAJ
Reckless endangerment/driving	MAJ
Registration violation	NC
RV violation, generally	MIN
Requirements satisfied	NC
Seat belt law violation	MIN
Seat belt law violation - passenger	NC
Non-moving school bus violation	NC
Accident(s) and/or Violation(s) Surcharge	NC
Display of unauthorized signs, signals, markings	NC
Snowmobile violation	NC
Speeding	SPD
Speeding over limit 31 mph or more	MAJ
Speeding over limit 11 to 20 mph	SPD
Speeding over limit 1 to 10 mph	SPD
Speeding over limit 21 to 30 mph	SPD
Speeding in a school zone	SPD
Interfere with streetcar	MIN
Receiving stolen vehicle	MAJ
Unsafe start from stopped position	MIN
Appeal or Stay of restriction or other action	NC
Fail to surrender suspended and/or revoked license	MAJ
Suspension or withdrawal	MAJ
Inattention	MAJ
Restriction violation - transportation/carpool lane	MIN
Throw/deposit debris on highway	MIN
Theft of motor vehicle	MAJ

Title 46 violation	MIN
Damaging/tampering motor vehicle	MAJ
Tamper with traffic control device	MIN
Unlawful use of control access facility	MIN
Unverifiable driving record	NC
Unattended child running vehicle	MAJ
Unknown (no violation description available)	NC
Unknown (minor or speed)	MIN
Unsafe (not willful) operation	MIN
Unauthorized use of motor vehicle	MAJ
Unlawful possession of vehicle equipment	MAJ
Abandon vehicle	MIN
Violation of conditions of probation	MAJ
Vehicular assault	WTM
Vehicular homicide	WTM
Instruction permit violation	MAJ
License restriction violation	MAJ
Violating posted road restriction	MIN
Violation of provisional, probational, juvenile, etc.	MAJ
Citation/Course withdrawn	MAJ
Over weight/height/length	COM
Warning letter	NC
Watercraft violation	MIN

¹Denial, General (DEN): Licensing violation for denial of driver's license.

²Frequent Accident Flag (FQA): A flag indicating multiple accidents.

³Habitual Offender (HAB): A flag indicating multiple violations.

13. Appendix D - Educator Roles by Group

Educator Group	Qualifying Roles
Higher Education Certificated	Presidents, Chancellors, Deans, Associate Deans, Program Directors, Athletic Directors, Professors, Instructors, Adjunct Professors, Counselors, Lecturers
Higher Education Classified	Secretaries, Librarians, Technology Services, Security, Maintenance and Grounds, Custodians, Dining Services, Admissions Office, Grants Office, Coaches, Student Recruitment, Human Resources/Benefits/Payroll, Business and Finance Offices, Marketing/Communications, Foundation Office, Alumni Office, Employees of Teaching Hospitals that are Affiliated with a University
K-12 Certificated	Superintendents, Assistant Superintendents, Executive Director of Schools, Principals, Assistant Principals, Deans, Head of Schools, Headmasters, Educational Service District (ESD) Employees, OSPI (Office of the Superintendent of Public Instruction) Employees, ODE (Oregon Department of Education) Employees, Teachers, Substitute Teachers, Student Teachers, Counselors, Librarians, Central/District Office Employees (Executive Directors, Directors, Coordinators, Supervisors)
K-12 Classified	Secretaries, Administrative Assistants, Athletic Directors, Coaches, Transportation, Security, Maintenance/Grounds, Custodians, Para-educators (or Teacher Aides), Technology, Food Services, School Nurses (sometimes are certificated or ESD Employees), Central/District Office Employees (Human Resources/Benefits/Payroll, Marketing/Communications, School Foundations), Contracted Employees Performing a School Service (Transportation, Food Services, Custodians, Maintenance and Operations)